stack

Business plan.
Own it. Play it everywhere.

Harrison Greener · Student ID 214313327 · Module 466Z0032_2627_SEM1, Business Planning for Enterprise and Digital Industries · 2026/27

1. Executive summary

Stack lets people play the vinyl and CDs they own on any device, share them with their household and sell them when they are done. Playing your own records is free; Stack earns when people share (Duo £10, Family £19.99 a month), buy the Puck (from £30) or sell on the Marketplace (8% fee).

Eleven testers aged 20 to 65 led to six changes to the prototype. After a six-month pilot with Manchester record shops, the plan forecasts £246k revenue in Year 1, £1.4m in Year 2 and £4.6m in Year 3, breaking even in Q3 of Year 2. I am asking for £200,000.

Sections 2 to 12 follow the Lean Canvas (Maurya, 2012), one heading per box.

2. Problem

The top three problems are:

1. **Paying twice:** owning *The Dark Side of the Moon* on vinyl does not let you play it on the bus without paying a streaming service.
2. **No sharing:** a household's records sit on one shelf, out of reach of everyone's phones.
3. **Slow selling:** second-hand records must be listed and priced one by one.

Demand is growing. UK vinyl sales reached £174.4m in 2025, up 19.9% and the highest in about 30 years (Marsden, 2026). Half of US vinyl buyers do not own a record player (Jones, 2023), suggesting people buy records to own them and listen elsewhere.

3. Existing alternatives

Alternative	What it does	What it lacks
Spotify, Apple Music	Huge streaming catalogues	You own nothing
Discogs	Catalogue and second-hand marketplace	You cannot listen
Bandcamp	Physical plus digital	Only records bought there
Vinyl Recorder app (Roberts, 2017)	Recorded vinyl to a phone	USB turntable needed; no sharing

Using Blue Ocean thinking (Kim and Mauborgne, 2005), Stack does not compete on catalogue size. It combines listening, sharing and selling the records people own, which no rival offers together.

4. Customer segments and market size

- **Collectors** who own vinyl or CDs and already stream.
- **Households** that want one shared collection.
- **Record shops** selling second-hand stock.

The UK recorded music market is worth £1.57bn, of which vinyl is £174.4m (BPI, 2026; Marsden, 2026). Stack's obtainable market is 10,000 people on average in Manchester in Year 1, rising to 200,000 across the UK by Year 3.

5. Early adopters

Following Rogers (2003), Stack targets early adopters first: Manchester collectors aged 18 to 35 who visit independent shops monthly, own 50 or more records, already pay for streaming and live with someone they would share with. Second-hand shops are early adopters on the selling side. Two testers fit this profile: a vinyl shop owner (P1) and a 20-year-old who would share with her sister (P2).

6. Solution

The top three features:

1. **Add once, play anywhere:** add a record by barcode, Discogs import or the Puck, then play it in lossless on any device.
2. **Family Stack:** one shared collection for the household.
3. **Marketplace:** sell records with ownership transfer, so the digital copy moves to the buyer.

The working prototype at harrisongreener.github.io/stack tests whether people understand and want these features. Screenshots are in the portfolio.

7. Unique value proposition and high-level concept

Unique value proposition: "Own it. Play it everywhere." The records you own become playable, shareable and sellable in one app.

High-level concept: Spotify for the records you already own.

8. Unfair advantage

An app can be copied, so the prototype is not the advantage. Harder to copy are:

- **The Puck:** hardware linking a real turntable to the app.
- **Record shop partnerships:** built locally, shop by shop.
- **Ownership data:** Stack knows what people own, which streaming services do not, so the Marketplace improves as it grows.

Porter's (2008) five forces show the main threat is supplier power: labels control the licences Stack needs.

9. Channels: the first 3–5 users and 90 days

The first users come from the record shop counter. Shops get free listing of their second-hand stock, using a photo quick-add that recognises the record and suggests a price.

1. **Weeks 1–4:** visit Vinyl Exchange, Clampdown, Tasty Records, Music For The Soul and Wax and Beans (Manchester's Finest, 2026). Goal: two pilot shops.
2. **Weeks 5–8:** list their stock, with stickers and posters in store. Goal: the first 3–5 users.
3. **Weeks 9–12:** a listening party, invite-a-friend and Seller Pro for shops. Goal: 100 people and 10 paying homes.

This follows Sarasvathy's (2001) effectual logic: start from existing contacts and build partnerships before paying for advertising. TikTok, Instagram and Record Store Day follow at launch.

10. Revenue streams

Stream	Price
Duo and Family sharing plans	£10 and £19.99 a month
The Puck	£30; 2 for £50; 3 for £75
Marketplace	8% seller fee
Seller Pro	£6.99 a month, 5% fee
Stack Supply and shop partners	Merchandise and commission

Revenue model. One in eight people shares at home, split 60% Duo and 40% Family: £14 a month on average. Forty per cent of homes that join each year buy Pucks, spending £40 on average, and each sharing home buys £24 of second-hand records a year.

Gross margin. After rights, Puck parts, card fees and hosting, Stack keeps about 23% of revenue, or £3.45 a month per paying home.

Lifetime value. If 4% of paying homes cancel each month, a home stays about 25 months: a lifetime value of about £86.

11. Cost structure

Variable costs. Rights holders take two-thirds of sharing revenue, in line with Spotify (Del Fabbro, 2025). Puck parts cost £15–22 at 1,000 units (LionCircuits, no date; Andertons, no date), plus about £4 packaging and shipping, the main distribution cost. Card fees are 1.5% + 20p (Hammond, 2026) and hosting about 10p per person a month.

Fixed costs. People, marketing and overheads: £131k in Year 1, with me and a developer, then a partnerships lead, second developer and support in Year 2.

Customer acquisition cost. £30k of Year 1 marketing ÷ 2,125 new paying homes = about £14 per home. Against an £86 lifetime value that is 6:1, above the 3:1 often treated as healthy. The Puck sells close to cost on purpose, a common hardware pattern (Einstein, 2015).

12. Key metrics

Metric	Year 1 target
People on Stack	20,000 by year end
Share who pay	1 in 8
Monthly cancellations	4% or less
Homes buying Pucks	850
Marketplace sales	£30k
Cost per paying home	£14 or less

13. Customer research and validation

Stack was developed through Ries's (2011) build, measure, learn loop. Eleven people aged 20 to 65 tested the prototype in October 2026, ten on their own phones. Most were friends and family, which I treat as a bias toward positive feedback. Six changes came from feedback (Appendix A):

- **Brand:** the black and orange scheme resembled an adult website's branding, so Stack moved to a warm 1970s palette.
- **Price:** the Puck was too expensive at £70, so it dropped to £30.
- **Clarity:** confusion about the app and its record views led to an intro film and list and crate views.
- **Features:** requests for social features and a marketplace became Friends and the Marketplace.

My own testing made Solo free (Appendix B). Desk research challenged the idea: under 25% of vinyl download codes are redeemed (Henshall, 2019), so Stack must offer more than a digital copy. The next test is willingness to pay for Duo and Family.

14. Operations, people, legal, ethical and data obligations, sustainability

Operations and people. I designed the prototype and run product and shop partnerships in the pilot. A contract manufacturer makes Pucks in small batches.

- **Music licensing:** owning a record gives no right to stream it, so Stack launches only with label and publisher licences, paying royalties on every play.
- **Data protection:** collections and listening history are personal data under UK GDPR. Users consent, data stays in the UK, and users can export or delete it.
- **Product safety:** the Puck needs UKCA and CE marking and falls under WEEE take-back rules.
- **Consumer rights:** Marketplace payments are held until the record arrives.

Sustainability. Selling records on keeps vinyl in use. The Puck uses a recycled case and minimal packaging, and faulty units are repaired before being replaced.

15. Finances, funding, risks and milestones

Growth is steady: from 1,000 people at the end of the pilot to about 20,000 by the end of Year 1, 100,000 by Year 2 and 300,000 by Year 3, adding one region at a time.

	Year 1	Year 2	Year 3
Average people on Stack	10,000	60,000	200,000
Revenue	£246k	£1.42m	£4.63m
Variable costs	£190k	£1.09m	£3.53m
Fixed costs	£131k	£314k	£718k
Profit	**–£75k**	**£18k**	**£382k**

Cashflow and break-even. After the £30k pilot, Stack loses money through Year 1 while it grows. New hires in Year 2 take cash to its low point of –£150k in Q2, and Stack makes a quarterly profit from Q3 of Year 2: break-even (Appendix C).

Scenarios for Year 2. Bad case (half the paying homes and Puck buyers): –£187k. Expected: +£18k. Good case (50% more homes): +£221k.

Funding. I am asking for £200,000 from angel investors plus a Start Up Loan: £30,000 for the pilot (500 Pucks £10k, case mould £10k, safety testing £5k, marketing £3k, hosting and licensing £2k) and £170,000 working capital. This covers the £150k low point with a £50k buffer, but not the full bad case, which would need slower hiring.

Risks. If labels refuse licences, Stack launches only with those that agree. If Puck costs rise, barcode and Discogs import still work. To avoid an empty Marketplace, shops list stock from day one. Because testers were friendly, paid plans will be tested in shops before launch.

Milestones. Pilot month 3: two shops, 100 people. Pilot month 6: five shops, 1,000 people, 125 paying homes. End of Year 1: 20,000 people in Manchester. Year 2: the North West and break-even. Year 3: the UK.

References

Andertons (no date) *Behringer UFO202 USB audio interface*. Available at: https://www.andertons.co.uk/behringer-ufo202-usb-audio-interface (Accessed: 26 October 2026).

BPI (2026) *New generation of British artists helped UK recorded music market in 2025 surpass £1.5 billion in annual revenue for the first time*, 12 March. Available at: https://www.bpi.co.uk/news/13097053 (Accessed: 23 October 2026).

Del Fabbro, L. (2025) 'Spotify breaks record with largest annual payout reaching 10 billion dollars', *The Irish News*, 12 March. Available at: https://www.irishnews.com/entertainment/spotify-breaks-record-with-largest-annual-payout-reaching-10-billion-dollars-SHAB4WWOOJKNJDYCOAPBEAZ7OY/ (Accessed: 26 October 2026).

Einstein, B. (2015) 'Will your hardware startup make money?', *TechSpot*, 1 September. Available at: https://www.techspot.com/news/61952-hardware-startup-make-money.html (Accessed: 26 October 2026).

Hammond, A. (2026) 'Stripe payment fees explained: full breakdown and hidden costs', *Airwallex*, 2 February. Available at: https://www.airwallex.com/en-uk/blog/stripe-payment-fees-explained (Accessed: 26 October 2026).

Henshall, M. (2019) 'Are vinyl download cards dead?', *Sound Matters*, 30 September. Available at: https://yoursoundmatters.com/are-vinyl-download-cards-dead (Accessed: 26 October 2026).

Jones, A. (2023) 'Half of vinyl buyers in the US don't have a record player, new study shows', *Consequence*, 28 April. Available at: https://consequence.net/2023/04/half-vinyl-buyers-record-player-study/ (Accessed: 26 October 2026).

Kim, W.C. and Mauborgne, R. (2005) *Blue ocean strategy*. Boston, MA: Harvard Business School Press.

LionCircuits (no date) *ESP32-S3-WROOM-1-N8R8*. Available at: https://lioncircuits.com/parts/ESP32-S3-WROOM-1-N8R8 (Accessed: 26 October 2026).

Manchester's Finest (2026) *Manchester's best independent record shops*, 7 January. Available at: https://www.manchestersfinest.com/manchester-guides/manchesters-best-independent-record-shops/ (Accessed: 26 October 2026).

Marsden, B. (2026) 'Vinyl sales in the UK reach their highest point in more than three decades', *Dork*, 24 April. Available at: https://readdork.com/news/uk-vinyl-sales-highest-level-three-decades-bpi-report (Accessed: 23 October 2026).

Maurya, A. (2012) *Running lean: iterate from plan A to a plan that works*. 2nd edn. Sebastopol, CA: O'Reilly.

Porter, M.E. (2008) 'The five competitive forces that shape strategy', *Harvard Business Review*, 86(1), pp. 78–93.

Ries, E. (2011) *The lean startup*. London: Portfolio Penguin.

Roberts, B. (2017) 'Want to record vinyl to your phone? There's an app for that', *What Hi-Fi?*, 11 August. Available at: https://www.whathifi.com/news/want-to-record-vinyl-to-your-phone-theres-app (Accessed: 26 October 2026).

Rogers, E.M. (2003) *Diffusion of innovations*. 5th edn. New York: Free Press.

Sarasvathy, S.D. (2001) 'Causation and effectuation: toward a theoretical shift from economic inevitability to entrepreneurial contingency', *Academy of Management Review*, 26(2), pp. 243–263.

Appendix A: decision log

Tester	Who	When	How	What they said	What changed
P4	20, waitress	Early Oct, before 8 Oct	Own phone	Old colours resembled an adult website's branding; Puck at £70 too expensive	70s palette (8 Oct); Puck £30 (19 Oct)
P7	29, doctor	Early Oct, before 8 Oct	Own phone	Not clear what the app was	Intro film (8 Oct)
P9	65, retired teacher	Early Oct, before 8 Oct	Own phone	The way records are viewed was confusing	List view, then crate view (8 Oct)
P2	20, freelancer	About 15 Oct	Own phone	Better than other vinyl apps; wanted social features and a marketplace	Marketplace (17 Oct); Friends (19 Oct)
P5, P6, P8, P10, P11	Aged 21–59	10–20 Oct	Own phones	Liked it; no changes suggested	None
P1	48, vinyl shop owner	21 Oct	On my phone, at a uni vinyl pop-up	Young people would connect with it; would use it to sell	None; confirmed the Marketplace
P3	31, teacher	21 Oct	Own phone	"Why doesn't this already exist?"	None; confirmed the problem

Appendix B: founder testing

Date	What I found	What changed
21–22 Oct	Paying to play your own records felt wrong	Solo made free; pay only to share
19 Oct	Marketplace too basic	Search, grading, offers, chat, price history
9 Oct	Every record looked the same	Vinyl colour picker for real pressings
9 Oct	My Stack felt cluttered	Notification bell
8–9 Oct	Sound failed on iPhone	Fixed audio and two-deck player
8 Oct	Browsing covers one by one was slow	Crate view, search, A–Z dividers

Appendix C: cashflow by quarter, pilot to Year 2

	Pilot	Y1 Q1	Y1 Q2	Y1 Q3	Y1 Q4	Y2 Q1	Y2 Q2	Y2 Q3	Y2 Q4
Revenue	–	£20k	£45k	£74k	£108k	£183k	£305k	£412k	£518k
Costs	£30k	£48k	£68k	£90k	£115k	£220k	£314k	£393k	£473k
Net	−£30k	−£28k	−£23k	−£16k	−£8k	−£36k	−£8k	+£18k	+£45k
Cash position	−£30k	−£58k	−£81k	−£97k	−£105k	−£142k	−£150k	−£132k	−£87k

Cash position before the £200,000 investment; figures rounded. The pitch deck, prototype and video are linked from the pitch site.